

“There is confusion between the ₹2 lakh limit allowed by the income tax department and the ₹20,000 limit imposed by the RBI when it comes to the cash limit on gold loans,” an industry player tells *BT*, on the condition of anonymity. But the RBI, which is the regulator of the financial sector, has made its stance clear in the IIFL case, asking the NBFC to cap its cash disbursements to ₹20,000 and stop the practice of disbursing up to ₹2 lakh.

“For gold loans, as a policy, we do not disburse cash. We disburse all our loans to bank accounts only, which can be a Kotak account or any other bank. This ensures traceability of the borrower. It is important for the bank to know the recipient and the purpose of the disbursed funds,” explains Shripad Jadhav, President-Retail Agriculture and Gold Loans at Kotak Mahindra Bank.

On the issue of “significant disbursal and collection of loan amount in cash far in excess of the statutory limit,” in an analyst call, Jain admitted that IIFL Finance had been disbursing and collecting gold loans in cash up to ₹2 lakh.

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WHAT'S IT WORTH?

One clear violation that the RBI has highlighted is the process of assessing the worth of gold. In an ideal situation, the gold is assessed for weight and purity, and

the loan is advanced based on such an assessment.

But what if a 20-carat gold ornament pledged is assayed at 22 carats? Then the amount of money that can be loaned out increases because of the higher valuation of the gold.

For instance, IIFL Finance offered loans against gold to over 1.9 million customers, out of which 82,000 loans went for auction. In these, the RBI identified discrepancies between the value of the gold and the loan amount offered to customers in 55,000, or a whopping 67%, of the cases.

Of course, this arrangement is beneficial for both the borrower and the lender because the borrower gets access to a higher quantum of money than they are entitled to, and the lender retains a customer in the face of intense competition.

But what happens if a borrower defaults in this case? Now, the only way to recover the loaned amount is to auction the gold pledged. But then the buyer at the auction will only buy the gold at the prevalent price of 20 carats, leaving the lender to foot the difference.

There could be instances where after the auction the surplus money is adjusted to meet the shortfall. Remember that the lender can only advance a loan worth 75% of the gold ornament's value, so after the auction, the lender is bound to return the remaining 25% of the item's value to the borrower, minus charges.

“Auction should be done in a way that the buyer does

MODUS OPERANDI



► Serious deviations have been reported in assaying and certifying purity and net weight of the gold at the time of sanction of loans and during the auction of the pledged gold

► RBI found that the gold valuation differed at the time of sanction and auction. For example, 20 carat gold was assessed as 22 carat at the time of time of valuation at

the branch

► Wrong assessment led to breaching the loan-to-value ratio set by the regulator. This could lead to risks if the borrower defaults and the gold is auctioned

► Loans were disbursed and collected in cash far in excess of the statutory limit of ₹20,000 set by the regulator

► There was lack of transparency in charges levied on customers. Some were reportedly charged a fee of ₹200 for auction notices

► The RBI found that there was non-adherence with standard auction processes. It also found breaches in loan-to-value ratio that determines the money that can be lent against gold